

INTEGRATED SUSTAINABILITY REPORT

8. RESPONSIBLE PRODUCTS AND SERVICES

We recognise the potential environmental impact of our core business activities and strive to ensure a positive outcome.

8.1 Green Leasing

Our green lending scheme offers preferential terms for leasing hybrid and electric vehicles, which significantly reduce carbon emissions compared to traditional gasoline or diesel vehicles.

	No. of Green Financing Facilities	Amount Granted (Rs. Mn)
2024/25	2,716	7,351
2023/24	1,597	5,056
2022/23	855	2,411
2021/22	1,457	4,135
2020/21	2,293	4,293



8.2 Solar Loan Scheme

The Solar Loan Scheme offers flexible financing with competitive interest rates and customisable repayment terms. It caters to homeowners, small businesses, and enterprises, providing quick approval through streamlined digital processes. Financing covers solar panels, inverters, batteries, and maintenance costs, making solar adoption accessible and hassle-free.

	No. of Solar Financing Facilities	Amount Granted (Rs. Mn)	kW Generated
2024/25	13	25.5	180



8.3 Green Loans through Digital Lending

We streamline green loan applications through advanced digital platforms. Customers enjoy online applications, real-time progress tracking via digital dashboards, and paperless documentation, ensuring a seamless and sustainable lending experience.

	No. of CIM Loans Disbursed	Amount Granted (Rs. Mn)
2024/25	4,056	533.77



8.4 Green Partnerships

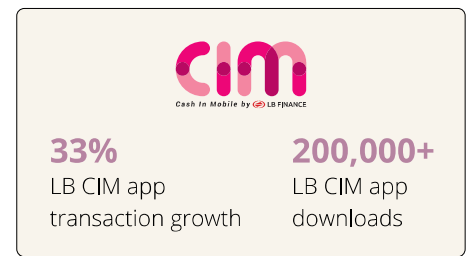
Marking a key milestone, we joined the United Nations Global Compact (UNGC) Network Sri Lanka in 2024, reinforcing our dedication to responsible business practices and contributing to global climate action. This partnership enables us to align our strategies with the UNGC's framework for sustainable development.

Beyond the UNGC, we partner to minimise environmental impact. We have collaborated with Neptune Papers (Pvt) Ltd., on responsible paper recycling initiatives. Furthermore, we have strengthened our

emissions management by engaging Control Union Inspections (Pvt) Ltd., to conduct Greenhouse Gas (GHG) verification, ensuring adherence to internationally recognised environmental standards.

8.5 Business Process Digitalisation

The LB CIM app promotes sustainable financing with a significantly low environmental footprint. As a cashless and fully digital solution, LB CIM app eliminates the need for paper and reduces customer commuting, minimising its environmental impact.



Refer Intellectual Capital on page 172 for information

9. IDENTIFYING SUSTAINABILITY-RELATED AND CLIMATE-RELATED RISKS AND OPPORTUNITIES

The process of determining material matters serves as a strategic cornerstone for identifying critical SRROs and CRROs.

Material matters assessed as highly significant inherently represent notable risks or opportunities for the Company, demanding proactive and strategic management. The Head of Sustainability is tasked with providing the Head of Risk with a prioritised list of these material matters. This ensures the seamless integration

of all relevant SRROs and CRROs into the Company's Risk Register, thereby guaranteeing their inclusion and oversight within our broader risk management framework, encompassing robust measurement, continuous monitoring, effective management, and transparent reporting processes.

For more information refer page 337, Integrated Risk Management

10. CONTRIBUTING TO THE UN SDGs



Our dedication to a sustainable future at LBF is a driving force, deeply intertwined with our active contribution to the UN Sustainable Development Goals (SDGs). Our initiatives are crafted to stimulate economic prosperity, uphold environmental stewardship, and enhance social well-being. By embedding the SDGs into the core of our business strategies, we aim to deliver a holistic and positive impact, creating lasting value for our customers, the communities we serve, and the planet.

SDGs and Underlying Targets		Initiatives Implemented by LB Finance	Page
1 NO POVERTY 	No Poverty (1.4)	- Conducted financial inclusion programmes - Offered microfinance facilities in Myanmar	33 - 36 241 - 244
2 ZERO HUNGER 	Zero Hunger (2.3, 2.4)	- Launched the LB CIM mobile merchant app for SME development - Organised capacity building for entrepreneurs	34 204
3 GOOD HEALTH AND WELL-BEING 	Good Health & Well-Being (3.1, 3.2, 3.7, 3.8)	- Provided health facilities for selected locations - Conducted mental and physical health programmes	203 201, 203